

Problem Set 1

Applied Stats/Quant Methods 1

Due: October 8, 2026

Instructions

- Please show your work! You may lose points by simply writing in the answer. If the problem requires you to execute commands in R, please include the code you used to get your answers. Please also include the .R file that contains your code. If you are not sure if work needs to be shown for a particular problem, please ask.
- Your homework should be submitted electronically on GitHub.
- This problem set is due before 23:59 on Thursday October 8, 2026. No late assignments will be accepted.

Question 1: Education

A school counselor was curious about the average of IQ of the students in her school and took a random sample of 25 students' IQ scores. The following is the data set:

IQ Scores:

```
1 y <- c(105, 69, 86, 100, 82, 111, 104, 110, 87, 108, 87, 90, 94, 113, 112, 98,  
      80, 97, 95, 111, 114, 89, 95, 126, 98)
```

Number of Observations:

```
1 n = length(y)
```

1. Find a 90% confidence interval for the average student IQ in the school (As a hint, you first need the mean and SD to create a CI):

Using the same sample, conduct the appropriate hypothesis test with $\alpha = 0.05$.

Descriptive Statistics:

```

1 mean_y <- sum(y)/n
2 sd_y <- sqrt(sum((y - mean_y) ^ 2) / (n - 1))
3 se_y <- sd_y/sqrt(n)

```

Critical Value:

```

1 t_score <- qt(0.95, df = n - 1)

```

90% Confidence Interval:

```

1 ci_90_lower = mean_y - t_score * se_y
2 ci_90_upper = mean_y + t_score * se_y

```

Analysis:

2. Next, the school counselor was curious whether the average student IQ in her school is higher than the average IQ score (100) among all the schools in the country.

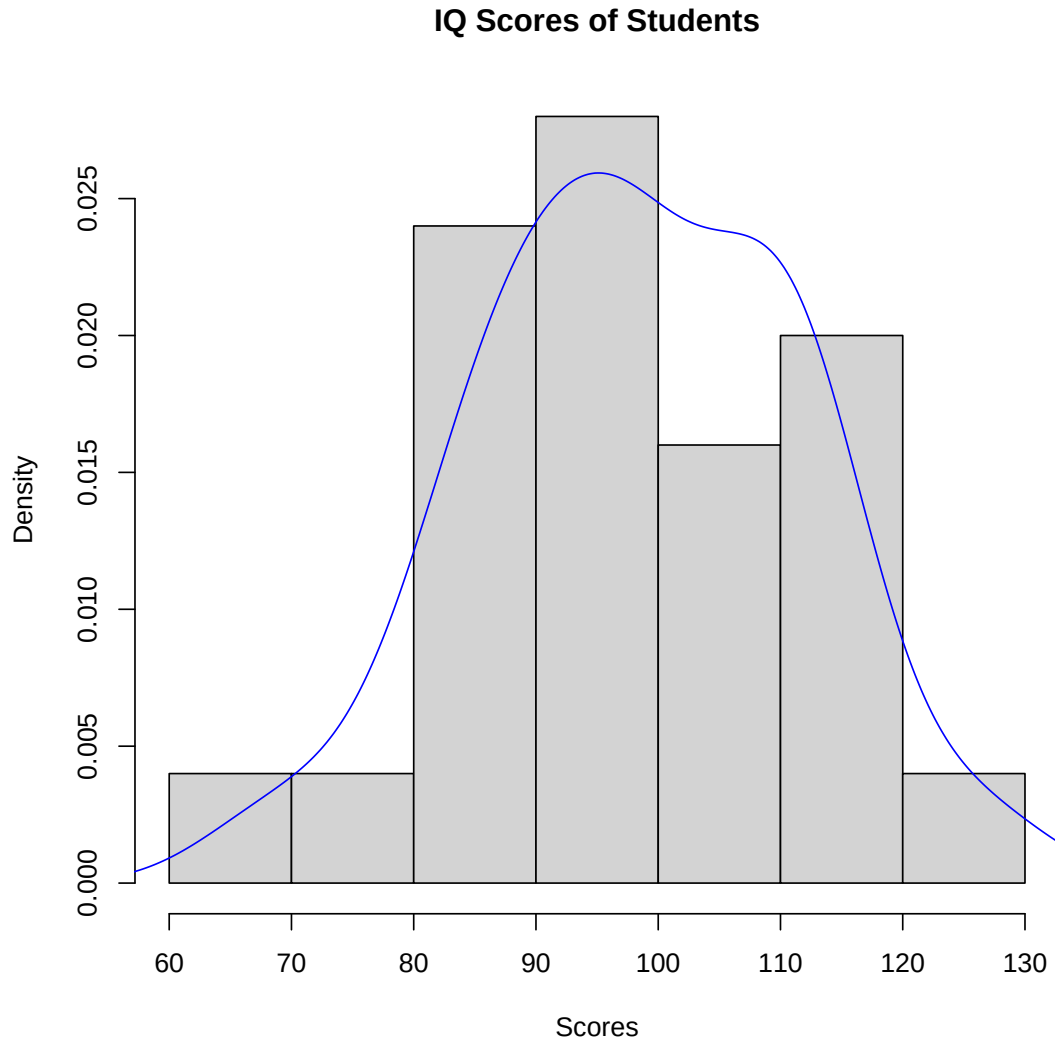
i. Assumptions (Visualising the Data):

```

1 pdf("plot_1.pdf")
2
3 hist(y,
4       breaks = 8,
5       probability = TRUE,
6       main = "IQ Scores of Students",
7       xlab = "Scores")
8
9 lines(density(y), col = "blue")
10
11 dev.off()

```

Figure 1: IQ Scores of Students



ii. *Null and Alternate Hypotheses:*

Question: Is the average IQ score in the counselor's school higher than the average IQ score of 100 among all schools in the country?

iii. *Hypotheses:*

$H_0 : \mu = 100$ (the average IQ score is 100)

$H_A : \mu > 100$ (the average IQ score is greater than 100)

iv. *Critical Value:*

```
1 mu_0 = 100
```

```
1 t_critical <- qt(0.95, df = n - 1)
```

iv. Test Statistic:

```
1 t_score <- (mean_y - mu_0) / se_y
```

iv. P-value:

```
1 p_value <- pt(t_score, df = n-1, lower.tail = FALSE)
```

Check Using the Built-in `t.test()` Function:

```
1 t.test(y, mu = 100, alternative = "greater", conf.level = 0.95)
```

v. Conclusion:

Analysis:

Question 2: Political Economy

Researchers are curious about what affects the amount of money communities spend on addressing homelessness. The following variables constitute our data set about social welfare expenditures in the USA.

State	50 states in US
Y	per capita expenditure on shelters/housing assistance in state
X1	per capita personal income in state
X2	Number of residents per 100,000 that are "financially insecure" in state
X3	Number of people per thousand residing in urban areas in state
Region	1=Northeast, 2= North Central, 3= South, 4=West

Explore the `expenditure` data set and import data into R.

Import Data:

```
1 expenditure <- read.table("https://raw.githubusercontent.com/ASDS-TCD/StatsI_2026/main/datasets/expenditure.txt", header=T)
```

Explore Data:

```
1 head(expenditure)
2 str(expenditure)
3 summary(expenditure)
```

- Please plot the relationships among Y , $X1$, $X2$, and $X3$? What are the correlations among them (you just need to describe the graph and the relationships among them)?

Define Variables:

```
1 vars <- c("Y", "X1", "X2", "X3")
```

Variable Labels:

```
1 labels <- c(
2   "Expenditure",
3   "Income",
4   "Financially Insecure",
5   "Urban"
6 )
```

Set Up Plot:

```
1 pdf("plot_2.pdf", width = 21, height = 12)
2
3 par(mfrow = c(2, 3), cex = 1.8)
```

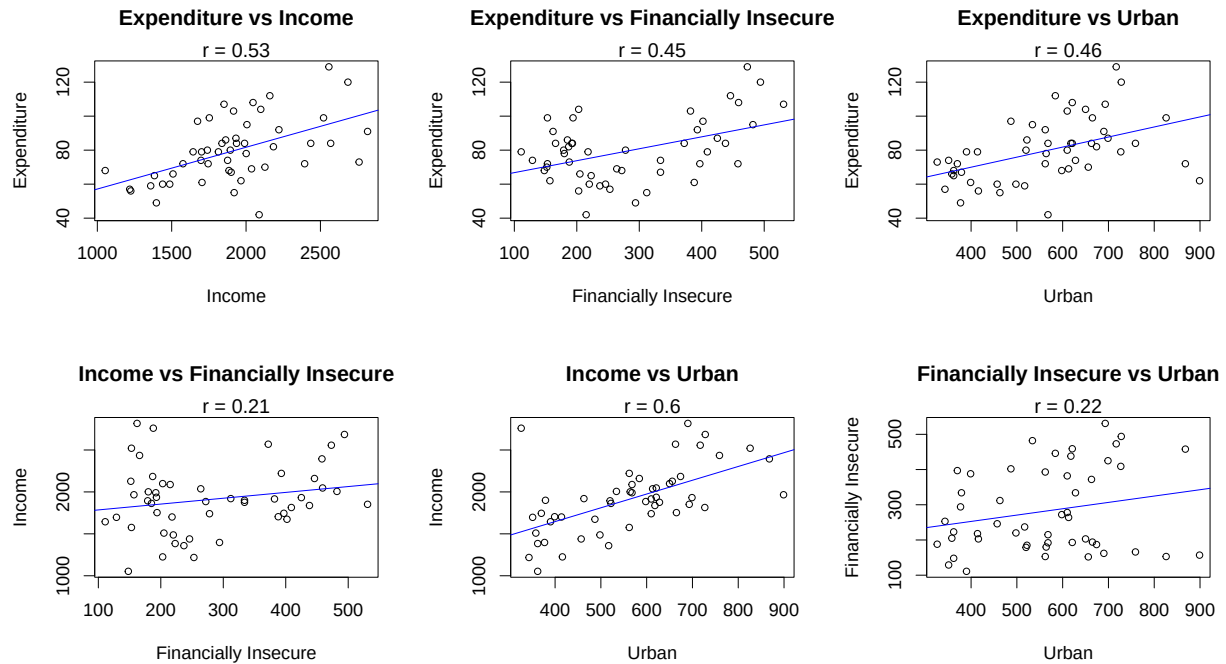
Pairwise Scatterplots and Correlations:

```

1 for (i in 1:(length(vars) - 1)) {
2   for (j in (i + 1):length(vars)) {
3
4     plot(
5       expenditure[[vars[j]]],
6       expenditure[[vars[i]]],
7       xlab = labels[j],
8       ylab = labels[i],
9       main = paste(labels[i], "vs", labels[j]),
10      cex = 0.8
11    )
12
13    abline(
14      lm(expenditure[[vars[i]]] ~ expenditure[[vars[j]]]),
15      col = "blue",
16    )
17
18    r <- cor(
19      expenditure[[vars[i]]],
20      expenditure[[vars[j]]]
21    )
22
23    mtext(
24      paste("r =", round(r, 2)),
25      cex = 2
26    )
27  }
28 }
29
30 dev.off()

```

Figure 2: Pairwise Relationships and Correlations



Analysis:

- Please plot the relationship between Y and *Region*? On average, which region has the highest per capita expenditure on housing assistance?

Define Regions:

```
1 regions <- factor(
2   expenditure$Region,
3   levels = c(1, 2, 3, 4),
4   labels = c("North East", "North Central", "South", "West")
5 )
```

Compare Regional Means and Medians:

```
1 for (i in levels(regions)) {
2   region_mean <- round(mean(expenditure$Y[regions == i]), 2)
3   region_median <- round(median(expenditure$Y[regions == i]), 2)
4
5   print(paste(i, "mean expenditure =", region_mean))
6   print(paste(i, "median expenditure =", region_median))
7   cat("\n")
8 }
```

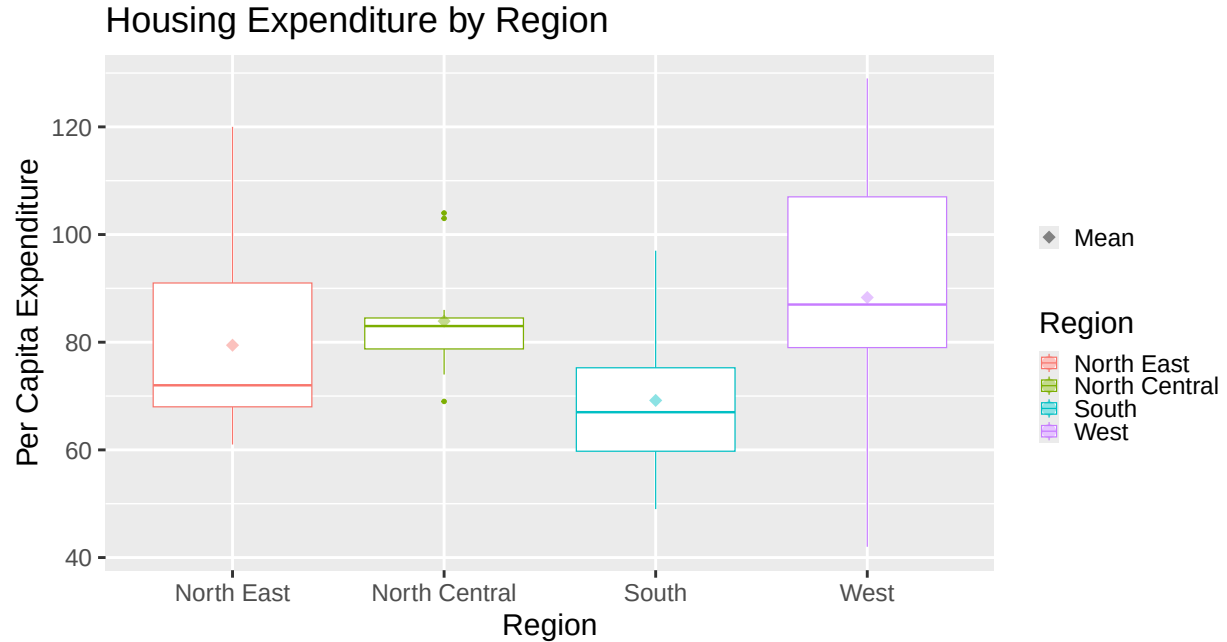
Plot Housing Expenditure by Region:

```

1 plot_3 <- ggplot(expenditure, aes(x = regions, y = Y, color = factor(
2   regions))) +
3   geom_boxplot() +
4   stat_summary(
5     aes(shape = "Mean"),
6     fun = mean,
7     geom = "point",
8     size = 5,
9     alpha = 0.45
10  ) +
11  labs(
12    title = "Housing Expenditure by Region",
13    x = "Region",
14    y = "Per Capita Expenditure",
15    color = "Region",
16    shape = ""
17  ) +
18  scale_shape_manual(
19    values = c("Mean" = 18)
20  ) +
21  theme_gray(base_size = 26)
22 ggsave("plot_3.pdf", plot = plot_3, width = 15, height = 8)

```

Figure 3: Housing Expenditure by Region



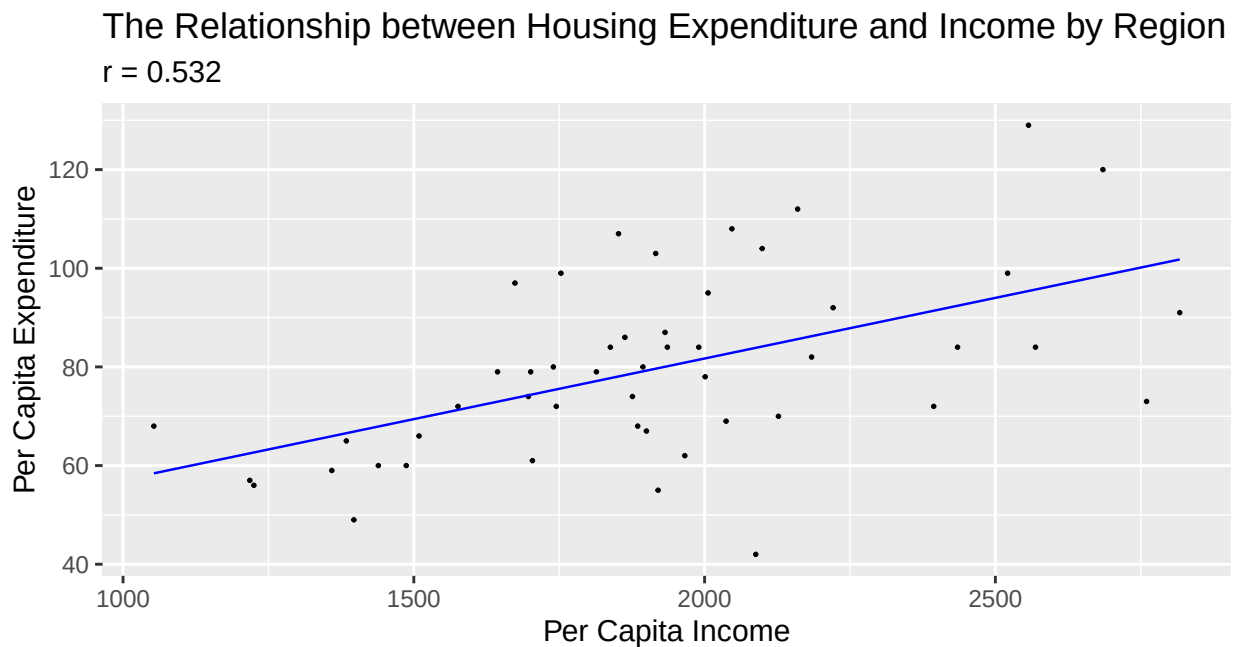
Analysis:

- Please plot the relationship between Y and $X1$? Describe this graph and the relationship. Reproduce the above graph including one more variable *Region* and display different regions with different types of symbols and colors.

Housing Expenditure and Income:

```
1 plot_4 <- ggplot(expenditure, aes(x = X1, y = Y)) +
2   geom_point() +
3   geom_smooth(
4     method = "lm",
5     color = "blue",
6     se = FALSE
7   ) +
8   labs(
9     title = "The Relationship between Housing Expenditure and Income by
10    Region",
11     subtitle = paste("r =", round(cor(expenditure$X1, expenditure$Y), 3))
12     ,
13     x = "Per Capita Income",
14     y = "Per Capita Expenditure"
15   ) +
16   theme_gray(base_size = 26)
17 ggsave("plot_4.pdf", plot = plot_4, width = 15, height = 8)
```

Figure 4: Housing Expenditure versus Income



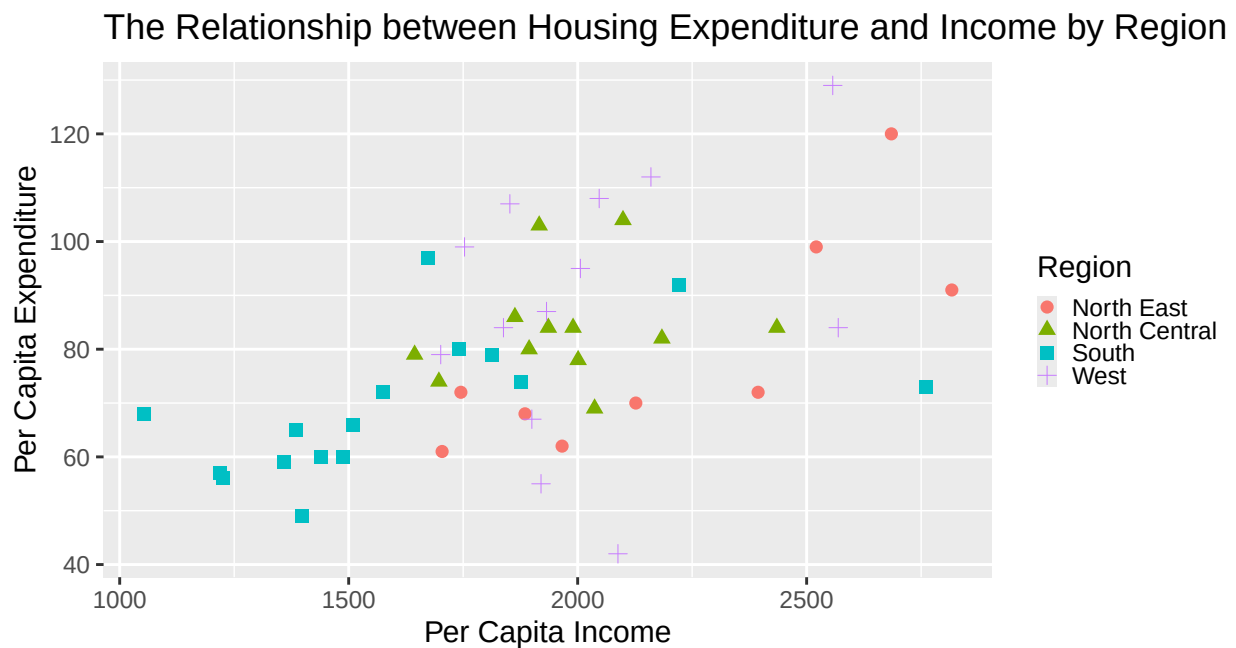
Housing Expenditure and Income by Region:

```

1 plot_5 <- ggplot(
2   expenditure ,
3   aes(
4     x = X1,
5     y = Y,
6     color = factor(regions),
7     shape = factor(regions)
8   )
9 ) +
10  geom_point(size = 5) +
11  labs(
12    title = "The Relationship between Housing Expenditure and Income by
13    Region",
14    x = "Per Capita Income",
15    y = "Per Capita Expenditure",
16    color = "Region",
17    shape = "Region"
18  ) +
19  theme_gray(base_size = 26)
20 ggsave("plot_5.pdf", plot = plot_5, width = 15, height = 8)

```

Figure 5: Housing Expenditure versus Income by Region



Correlations by Region:

```

1 for (i in levels(regions)) {
2   region_correlation <- round(cor(expenditure$X1[regions == i],
3   expenditure$Y[regions == i]), 3)

```

```
3  
4 print(paste(i, "correlation =", region_correlation))  
5 cat("\n")
```

Analysis: